

Article **ESG**

Is Netflix Succeeding in Making Streaming Greener?

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Netflix is making its productions more sustainable

Streaming giant Netflix is pushing to halve GHG emissions by 2030 using more sustainable electric and hydrogen power across productions like Bridgerton

Netflix has made its way into 270 million households around the world, with a total audience of over 500 million people.



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es over 3,600 original shows in over 30

x has a huge global influence - it's important the company not only portrays sustainability on screen, but also takes account for its own environmental impact.

In 2022 the majority of Netflix's carbon footprint came from the production of shows and movies, but its latest [Environment, Social and Governance \(ESG\)](#) report shows this has reduced to just 35%.

NETFLIX'S AREAS OF EMISSIONS:

- **Production** - developing TV shows and movies. Generally scope 2 emissions. This includes writing, acquiring talent, locations and props, filming and editing.
- **Corporate** - office staff and running costs. Generally scope 1. This includes utilities for offices and campuses and company vehicles.
- **Streaming** - consumers watching the programs Netflix provides. Scope 3 emissions. This includes data centre operations, internet service providers and devices used to watch.
- **Value chain** - other indirect emissions from Netflix's supply chain. Scope 3 emissions.

Netflix's production emissions have reduced dramatically, but this was in part due to huge strikes from unions of screenwriters and actors, halting almost all production in the US and some abroad – the company expects emissions to rise again in the next year.

Netflix's environmental goals

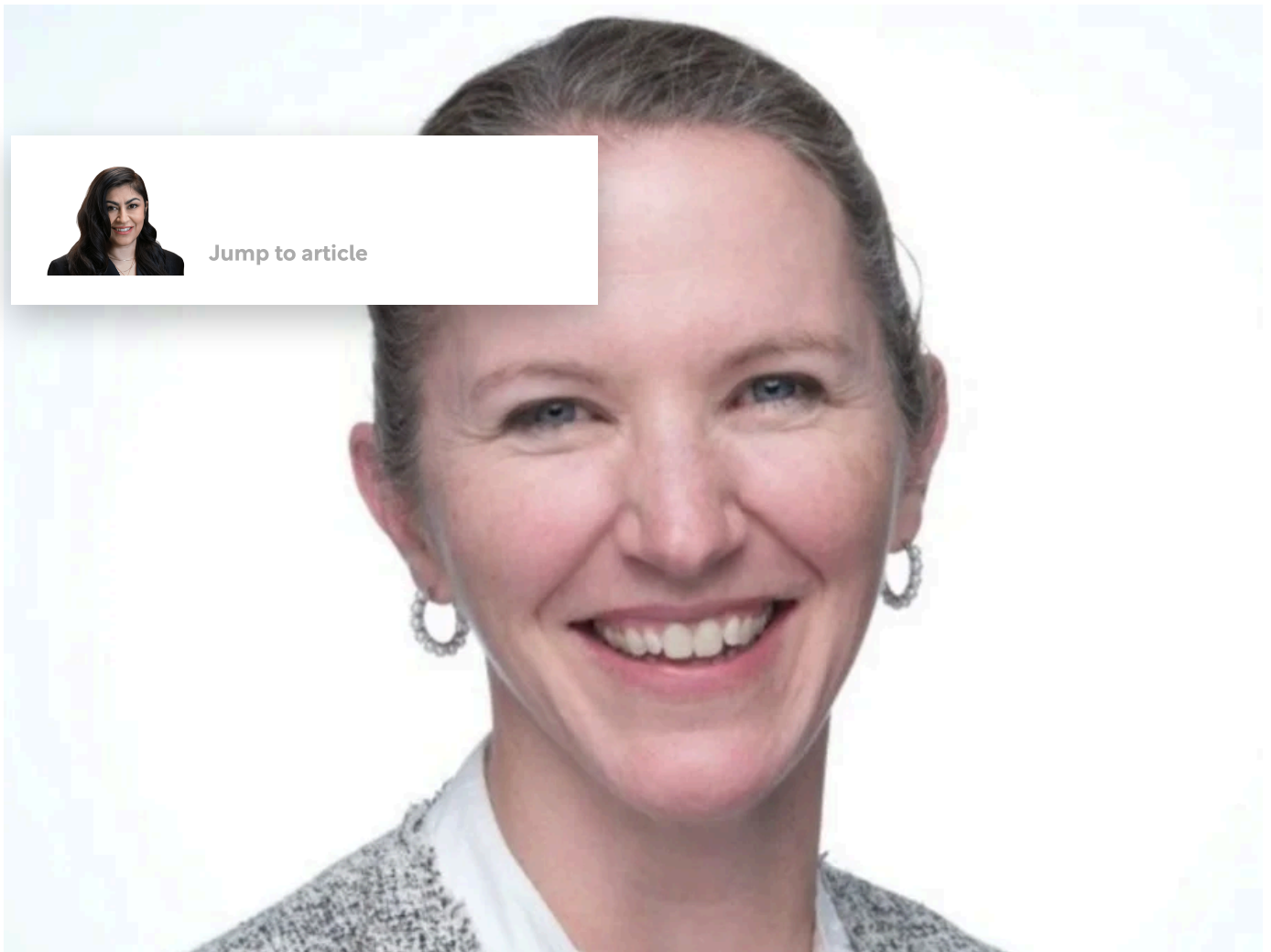
The company's two biggest environmental targets are to reduce emissions by roughly half by 2030, and match its remaining emissions from 2022 onwards in support of global net zero goals.

Netflix matches its emissions across all three scopes by investing in verified natural climate solutions and projects that destroy or limit super pollutants like methane.

Emma Stewart, Ph.D., Netflix's Chief Sustainability Officer, says: "After setting our climate targets just three years ago, we've made meaningful progress – from rolling out industry-leading investments in our newest Albuquerque studios, to electrifying our productions.



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Emma Stewart, Ph.D., Netflix's Chief Sustainability Officer

“We’re making headway towards our commitments and we’ll keep sharing our progress along the way.”

Netflix prioritises enterprise-level carbon reductions and purchases [carbon credits to offset emissions](#) where reductions are not yet possible.

The company’s carbon credit portfolio spans four continents and more than 25 on-the-ground partners.

The environmental impact of Netflix productions

Production accounts for 35% of Netflix’s carbon emissions, and the company expects this to increase as strike action has ended.

To reduce these emissions, the company will replace diesel generators with clean power equipment and replace fossil-fuel consuming vehicles with electric and other low emission vehicles.



Bridgerton Season 3 | Set Tour | Netflix

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Netflix has tested these new clean technologies on all scripted productions it directly manages, including Bridgerton Season 3 and The Piano Lesson.

The company estimates these tests avoided 418 tonnes of carbon dioxide equivalent.

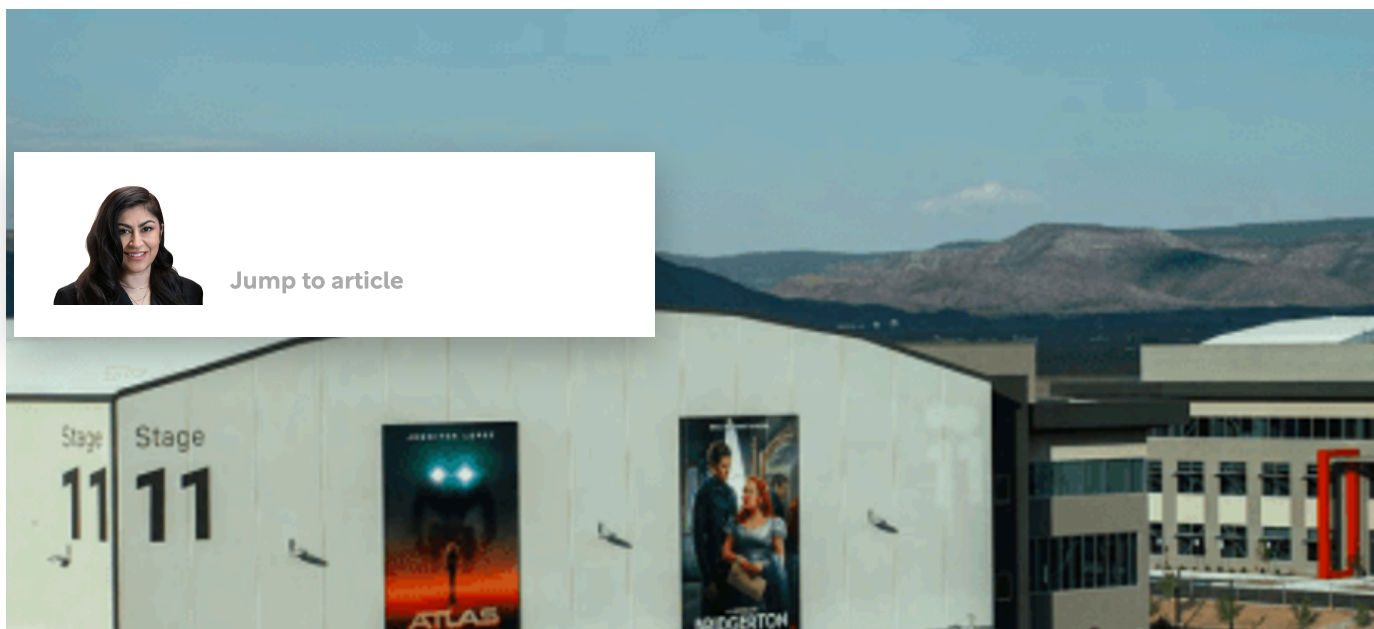
Across Netflix's UK productions it deployed Hydrogen Power Units using green hydrogen, which alone avoided an estimated 146 tonnes of carbon dioxide equivalent.

Corporate carbon footprint

Netflix does not own the majority of facilities it occupies, so it partners with landlords and property managers on energy efficiency projects.

The company completes energy efficiency audits for all its major facilities across North America, Europe, the Middle East and Africa.

Based on the results of its audits, Netflix is taking on projects including double glazing windows, lighting improvements and equipment upgrades.



Netflix's Albuquerque, New Mexico campus

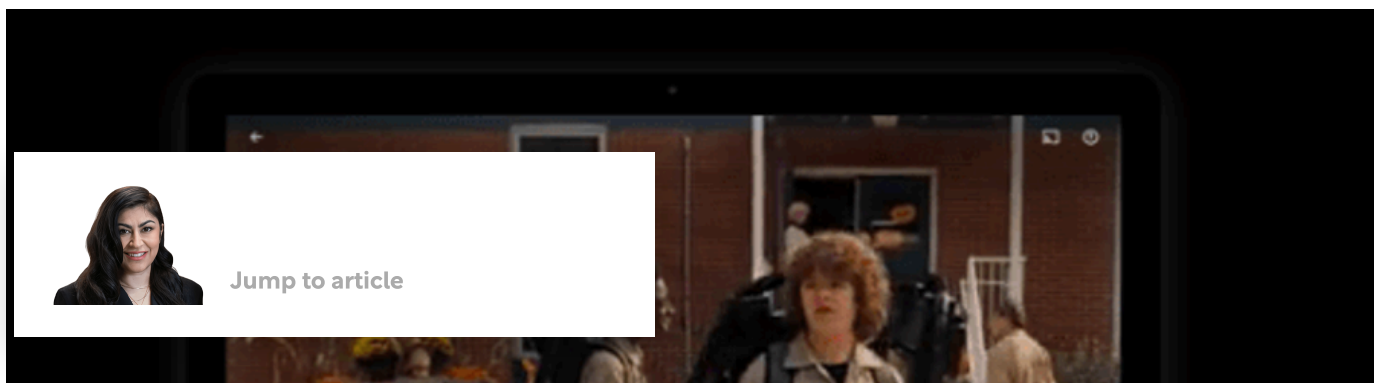
The company is installing a ground-source geothermal heating and cooling system for its studio campus in Albuquerque, New Mexico to reduce and potentially eliminate emissions from building operations.

The carbon footprint of streaming

Netflix estimates that the total carbon footprint of one hour of video streaming is approximately 55 grams of carbon dioxide equivalent – similar to boiling a kettle three times or microwaving four bags of popcorn.

Just 1% of this comes from data centre operators and 10% from internet service providers.

The other 89% comes from the devices used by Netflix members – 48% from subscriber premises, 5% from TV peripherals and 46% from screens.



Netflix is available across a range of devices

Greenhouse gas accounting standards place indirect internet and device related emissions outside of Netflix's formal carbon footprint boundary, but the company still wants to contribute to industry-wide decarbonisation efforts.

Netflix is a member of DIMPACT, a coalition aligning industry players around science-backed efforts with actionable tools and resources.

The company's collaboration through DIMPACT helps to identify best practices, support smart policy and implement cutting edge solutions to help decarbonise video streaming.

Netflix also [partners with AWS](#) for data storage and cloud computation using 99% renewable energy.

Netflix's Sustainability Stories Collection

Netflix aims to entertain the world, and supports creators to include sustainability in TV shows and movies with subject matter expertise and research assistance.

The company has curated a collection of sustainability stories for streaming with over 200 titles.

200 million households around the world chose to watch at least one story on Netflix from its Sustainability Stories Collection including titles like You Are What You Eat and Chicken Run: Dawn of the Nugget.

Further, 90% of Netflix productions choose to feature electric vehicles on screen.

Netflix's social and governance action

Looking outside of environmental sustainability and energy efficiency, Netflix also prioritises social sustainability and DEI.

Women have the highest gender representation at Netflix and over 50% of its US employees are from one or more historically underrepresented ethnic or racial

backgrounds.

The company uses diverse suppliers and invested more than US\$41m in the Netflix Fund for Creative Equity at identify and support new voices and



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Netflix Fund for Creative Equity

Netflix Fund for Creative Equity

The fund also supports external organisations committed to creating a more equitable environment in the TV and film industries, and provides job opportunities for up-and-coming talent globally.

Netflix has adopted a human rights statement that sets forth their ongoing commitment to respect internationally recognised human rights, and updated its code of ethics.

The company also made changes to its compensation program for executive officers and corporate governance practices.
